

Fast forward a year. The stock is trading at \$5 per share—down some 60 + percent from our buy price (ouch!). The company was losing about \$2 to \$3 million on an annualized basis. Dunkirk was responsible for virtually all of the losses. It was operating at a run-rate of just \$20 million a year. The bottom had fallen out of the power generation and aerospace markets and USAP's other plants were barely breaking even on reduced sales. Excluding Dunkirk, the company's annualized revenue run-rate was just \$40 million—down from over \$70 million a year ago. What was I supposed to do? Buy more, sell or hold? Clearly the lion had roared loudly.

At this point, we were deeply inside the chakravayuh, and the enemy appeared to be winning and closing in on us for the kill. To survive (let alone emerge victorious), we have to stay calm and follow the chakravayuh's ring traversal algorithm.

The answer, based on the algorithm, was self-evident. The entire steel industry was in the doldrums. This wasn't a USAP-specific problem; it was an industry-wide downturn. Intrinsic value was very murky at this time—pretty much indeterminate. Given the cyclical nature of the business, the odds were decent that things might get better as demand came back. We had a significant unrealized loss, less than two years had passed, and intrinsic value was tough to figure out. These are classic signs of being engaged in a furious battle in the heart of the chakravayuh. To have a shot at coming out alive, the answer was obvious—do nothing. Just hold. As my mom always said, "Time is the best healer!"

Fast forward another year. It's now April 2004. The stock is trading at \$10 to \$11 per share. Dunkirk is at a revenue run-rate of \$27 million and profitable. The rest of the business is at a \$60 million run-rate—profitable, but still not back at 2001 levels. The company-wide sales run-rate is \$85 million, and the company gave guidance that the next quarter's sales were expected to be as high as \$29 million (they've always sandbagged their guidance). This implied a run-rate of nearly \$120 million. This was a significant improvement. Part of the company's confidence stemmed from its growing backlog. The question again was what should I do? Two years had passed, we were still underwater. Intrinsic value was becoming clearer, and the company's turbo growth path suggested that the original thesis